



THE END OF THE DOLLAR EMPIRE

by Steve Bannon

Volume 1: The Federal Reserve

How the Federal Reserve robs your wealth, enriches the
wealthiest Americans, and distorts the free market



Dear fellow American,

Over the last few years I've become increasingly concerned by a number of growing economic forces that threaten the U.S. This "economic warfare" is taking place right now on a number of fronts.

The immediate goal is to undermine the U.S. dollar. This is a crucial step in removing the U.S. from its role on the world stage.

Whether you follow geopolitical struggles or not, this is important: As goes the dollar, so goes your savings. The struggle ahead may not only bankrupt our nation, but all of us as well.

This is the first of a series of sitreps [situation reports] I've assembled on the enemies of the dollar. I'm working with a trusted partner, Birch Gold Group, to distribute these reports to as many clear-thinking Americans as possible. You'll probably want to learn more about Birch Gold Group's services after finishing this report.

Today, we're taking a skeptical look at the one institution that's done more damage to the dollar than anything else over the last 100 years...

Your friend,

A handwritten signature in black ink, appearing to be 'SB' with a stylized flourish.

Steve Bannon

The Fed's story actually started 230 years ago...



In 1791, the just-formed United States created the largest corporation of its time at the behest of Alexander Hamilton. It was called the First Bank.

That was the beginning of a century-long fight between populists and East Coast elites over money. *What is money? Who will control it?*

Farmers **resisted the idea of having a centralized corporate power controlling monetary resources**, and the First Bank charter expired without renewal. That experiment would repeat itself in 1816 and last for another 20 years, only to fail once again thanks to the resistance of Andrew Jackson.

After a long history of back-and-forth politics, the Civil War, various banking acts, and several severe financial panics that all took place between 1836 and 1913, a wave of populist discontent swept the nation. Americans were tired of not having control of their own money, of being at the mercy of banks that frequently failed, leaving depositors destitute.

One of the most famous speeches in American political history was on this very subject. On July 9, 1896, William Jennings Bryan delivered his spellbinding “Cross of Gold” address. The issue at hand was whether to endorse the free coinage of silver at

a ratio of 16 to 1. This measure would've increased the amount of money in circulation and aided cash-poor farmers encumbered with debt to get out from under the banks who owned their mortgages.

Monopolistic bankers *hated* that idea. They didn't want a bunch of redneck voters influencing what counted as money – that would cut into their profits. The elite bankers wanted even more control.

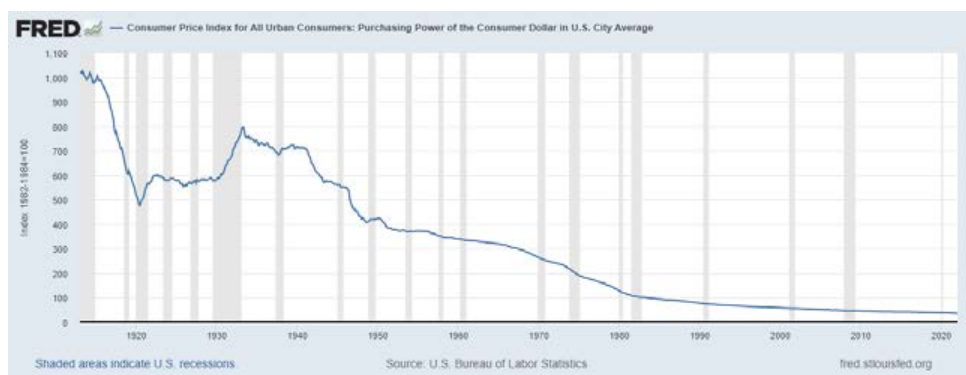
So the bankers locked arms with the United States government to get it. And way back then, just like today, when bankers want something, they figure out how to make it happen...

On December 23, 1913 the Federal Reserve Act was enacted. A centralized banking system with the Fed and twelve major banks in *nearly absolute control* of the entire monetary system was established.

From that day forward, everything changed. But this report isn't an in-depth historical account of the Fed — entire books have been written on that subject. (My personal favorite is *The Lords of Easy Money* by Christopher Leonard.)

Instead of covering that sordid history year by year, we're going to fast-forward to the present day to **examine the Fed's legacy and the impact it's had on Americans.**

One official chart summarizes the U.S. dollar's evaporating purchasing power from December 1913 to the present and reveals the Fed's "effectiveness" over the last 100+ years fairly well:



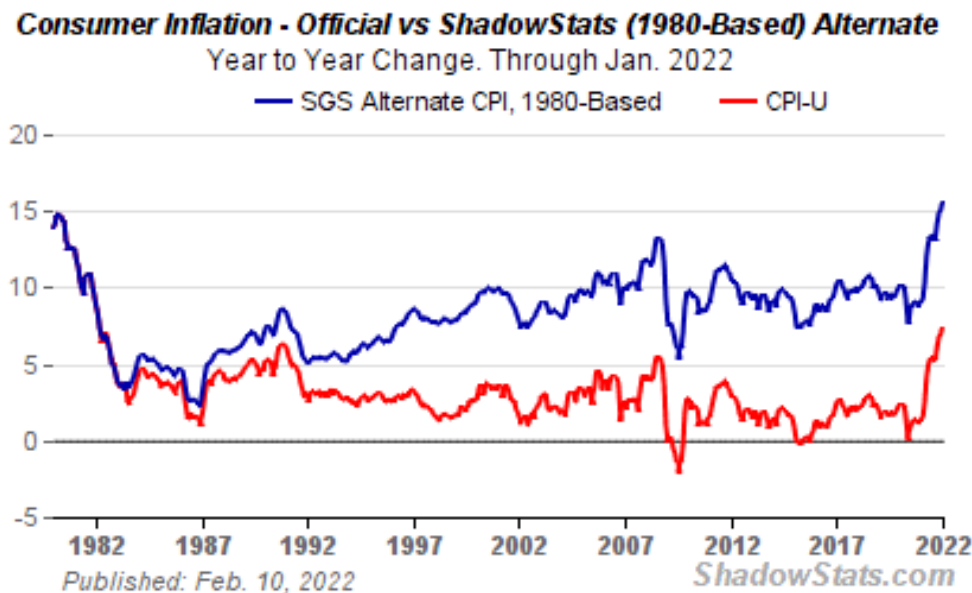
As you can see, **the purchasing power of the U.S. dollar has declined by approximately 96 percent** since the Federal Reserve took over.

If we zoom in just a little closer, in the last two years:



Since the eve of the pandemic, your money, your purchasing power, your ability to provide for yourself and your family *has declined by 8%*. This is through **no fault of your own** but simply because you've been receiving a paycheck denominated in Federal Reserve Notes.

And these are just the official numbers! Analyst John Williams uses the Federal Reserve's own inflation measures dating from 1980 (before they were watered down to understate inflation for political reasons). As bad as the official numbers are, the reality is much worse:



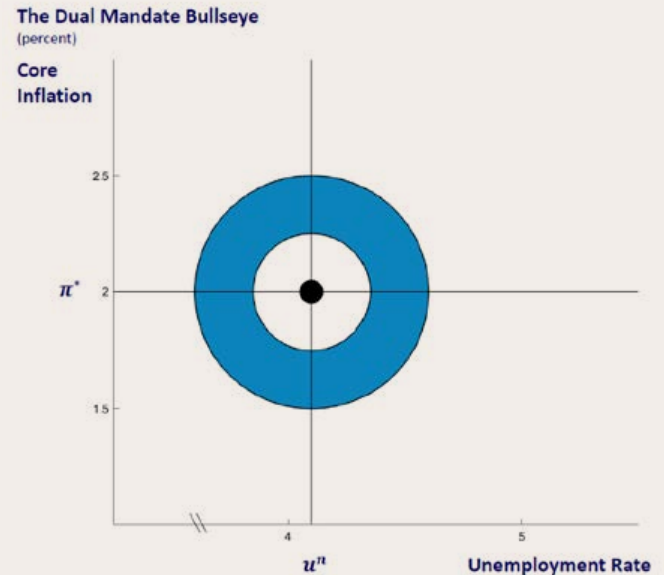
Of course, there's much more to the Fed's malfeasance than this handful of charts reveals. In fact, over the last two decades the Fed has *continuously* intervened to keep inflation, lending rates, and unemployment "under control."

But, to put it bluntly, their best interests are *not* our best interests...

How Unelected Technocrats From the Ivory Tower Create the Illusion They're "Looking Out for the Little Guy" While Doing Exactly the Opposite

The Fed is supposed to maintain a dual mandate of keeping inflation near 2% annually, *while* ensuring full employment.

You can see this depicted on the blue "bullseye" graphic, taken from the Chicago Federal Reserve's website, and current as of October 2020 (targets can change). It shows the "sweet spot" with core inflation at 2%, and unemployment at about 4.1%.



The Fed's dual mandate sounds like a reasonable idea when taken at face value. Two percent inflation doesn't sound bad. And we want people to have jobs, so why not maximize employment?

Recently, one Federal Reserve nominee, Sarah Bloom Raskin, has proposed expanding the Fed's charter. She thinks the Fed should be policing climate change. Senator Pat Toomey, the top Republican on the Banking Committee, says she really wants to "choke off credit" to fossil fuel companies. He went on to say, "Unelected officials like Ms. Raskin want to misuse bank regulation to impose environmental policies that Congress has refused to enact."

This is exactly what our nation *doesn't need*. It's just stupendously poor strategic vision. Making American energy development more costly would not only drive prices higher, even higher than they already are!

In January 2022, overall energy prices rose 27% year over year including:

- Fuel oil: +46.5%
- Electricity: +10.7%
- Gasoline: +40%
- WTI crude: +60%

Not only would you and I be paying higher prices, Raskin would also be condemning thousands of good jobs in the energy sector.

Where does she think we get oil from if we don't produce it ourselves? I'll tell you: Russia. Iran. China.

She'd rather see *your money* go into *their pockets* so she can feel good about herself and tell her friends at cocktail parties she's a proper social justice warrior.

The problem isn't Raskin, *per se* (though she's part of it). The problem is **these people aren't out to help you**. You **don't get to vote for them**. Congress can't recall them. As far as I can tell, no current or former member of the Federal Reserve has ever been indicted.

There's no transparency to their actions and no apparent day-to-day plan to *actually help the average American*.

In fact, the opposite is true...

Things aren't as "reasonable" as the Fed would have you believe.

When Fed executives fail to provide transparency about what they're doing, that behavior should arouse suspicion about their operations. For example, a Frontline investigation revealed the following disturbing behavior:

*"From September 2019 to March of 2020, the Fed pumped out more than \$9 trillion cumulatively in below-market rate loans to the trading units of the mega Wall Street banks in these repo loans. **To this day, the Fed has refused to release the names of the banks that received these funds or the amounts each bank received.** It has released only the cumulative tallies of the loan amounts."*

One might wonder, *Is the Fed actively propping up failing megabanks?* Based on the evidence, it's hard to deny that. And if you think they're hiding something, you would be correct.

Have you ever heard of the Plunge Protection Team (PPT)? It's a small team of people who report directly to POTUS. If the stock market falls too far too fast, the PPT starts buying up massive amounts of equities to reverse the direction of the market.

I know it sounds crazy, but this kind of activity has been going on a long time. For example, a 1989 speech published in *The Wall Street Journal* by former Federal Reserve Board of Governors member Robert Heller suggested the Fed **could directly support the stock market by purchasing index futures contracts**.

That begs the question: **Is it the Fed's job to benefit Wall Street?**

Based on the last 20 years of history, the answer is a resounding **YES**.

Here's an example:

Remember the Financial Crisis in 2008, after Lehman Brothers collapsed and A.I.G. was teetering on the verge of bankruptcy? Hank Paulson was the U.S. Secretary of the Treasury at the time. For the previous 22 years, Paulson had worked for Goldman Sachs, most recently as Chief Operating Officer, during which he amassed a personal fortune of about \$700 million.

Well, Goldman Sachs was in trouble. Treasury Secretary Paulson went *out of his way* to save Goldman. He asked a Treasury lawyer to give him a conflict-of-interest waiver because "the magnitude of the government's interest" outweighed ethics. Paulson spoke to Goldman's CEO more than twenty times over the next few days.

Just a couple days later (on a Sunday, no less), the Federal Reserve announced that Goldman Sachs had transformed, over the weekend, from an investment bank into a "bank holding company." (This required a couple of lines on a piece of paper, signed by Fed chair Timothy Geithner and Goldman's CEO Blankfein.)

I'll let Matt Taibbi explain what that means:

“...a move that allows it access not only to \$10 billion in TARP funds, but to a whole galaxy of less conspicuous, publicly backed funding — most notably, lending from the discount window of the Federal Reserve. By the end of March, the Fed will have lent or guaranteed at least \$8.7 trillion under a series of new bailout programs — and thanks to an obscure law allowing the Fed to block most congressional audits, both the amounts and the recipients of the monies remain almost entirely secret.

“Converting to a bank-holding company has other benefits as well: Goldman’s primary supervisor is now the New York Fed, whose chairman at the time of its announcement was Stephen Friedman, a former co-chairman of Goldman Sachs. Friedman was technically in violation of Federal Reserve policy by remaining on the board of Goldman even as he was supposedly regulating the bank; in order to rectify the problem, he applied for, and got, a conflict of interest waiver from the government.”

Even Hank Paulson’s \$700 billion Troubled Asset Relief Program (the one where the government used taxpayer dollars to buy “toxic assets” from too-big-to-fail banks) was run by Neel Kashkari, another Goldman banker.

The phrase **regulatory capture** means that institutions that are supposed to **follow rules** *also* **control the rule-making** and rule-enforcement organizations. It’s another way of saying, “The inmates are running the asylum.”

It’s become clear to me over the last twenty years that the Federal Reserve is mostly an institution that’s run *by Wall Street, for Wall Street*.



This shady Fed behavior has been going on for more than 30 years, yet the general public is still largely unaware of it. And that's by design. The Fed likes to project the image that its sole purpose is to help the little guy — while their actions benefit the wealthy elites. For example, here's Minneapolis Fed President Neel Kashkari (the same guy who was running the \$700 billion TARP fund) justifying the Fed's behavior:

“The Fed has been on a mission, I’ve been on a mission to put Americans back to work and help them get their wages up, especially for those lowest income Americans. And if it’s had some effect on Wall Street, to me, the tradeoff is well worth it if we can put Americans back to work, so that they can put food on the table, they can take care of themselves. That is profoundly beneficial to society.”

Notice how he skims over the part about Wall Street? Kashkari is basically admitting that the Fed is providing financial aid that benefits Wall Street. And, he says, the money they're giving Wall Street is justified because it will “trickle down” to average Americans and help them put food on the table.

It's pretty clear the Fed's bailout money wasn't being used to support its mandates. Rather, that money was used to take care of some of the wealthiest corporations and individuals in society.

So why is it so important to provide support to these failing institutions?

Does the Fed's under-the-table, free loans to banks limit inflation?

No.

Is it the Fed's intention to keep the half-million or so U.S. employees of the megabanks from losing their jobs when their corporate employers shut down?

Hardly...

It seems the Fed's primary goal is to keep the stock market from falling. And they've been relentlessly pursuing that goal since 2008, injecting \$6 trillion of economic rocket fuel into the American economy.

There's just one problem.

What goes up, must come down. That's just as true in the real world of thrown rocks as it is in the weird world of finance. And just like in the real world, *the further up you go, the further you fall* (and *the worse it hurts* when you land).

A Forbes article summarized this situation very well:

“The longer we artificially extend our expansion or economic boom, the bigger the recession we create. When we artificially affect the economy, we throw the natural business cycle out of order. Thus, we may lose more than the wealth we’ve created during the economic boom.”

Here's why: The “natural business cycle” includes bad economic times as well as good ones. Recessions and bear markets are a part of Schumpeter’s creative destruction that are a part of all **healthy, dynamic markets**.

When the Fed prints money to prop up the stock market, they’re preventing the natural business cycle from working. That leads to a build-up of unhealthy assets in the market, to speculation, to bubbles.

A return to healthy, dynamic and most of all **free markets** would have tremendous benefits. But the Fed thinks that would be catastrophic, because of something called the “wealth effect.”



What's the wealth effect?

In 2010, Fed chair Ben Bernanke explained the “wealth effect” to Americans. Not on cable news. Not in a press release, or at a press conference. Nope, he chose the editorial page of *the Washington Post*. He wrote:

Easier financial conditions will promote economic growth. For example, lower mortgage rates will make housing more affordable and allow more homeowners to refinance. Lower corporate bond rates will encourage investment. And higher stock prices will boost consumer wealth and help increase confidence, which can also spur spending. Increased spending will lead to higher incomes and profits that, in a virtuous circle, will further support economic expansion.

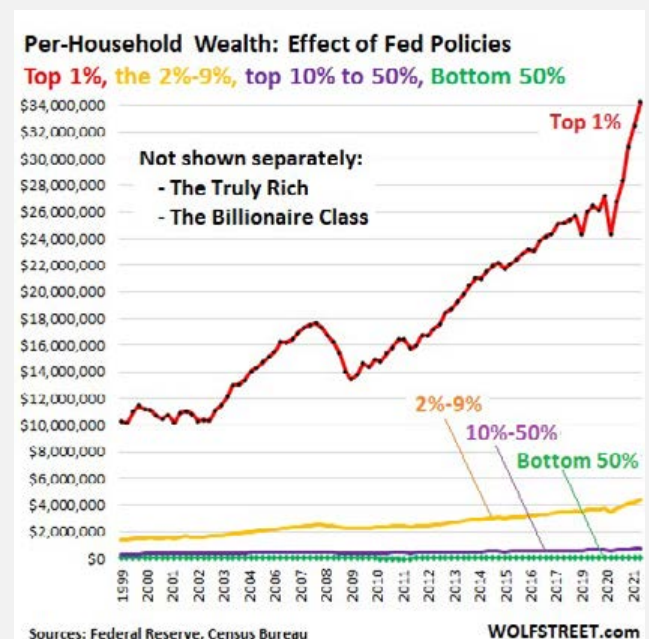
There it is, in a nutshell. The “wealth effect” is the Fed’s never-ending quest to boost asset prices. That’s it! If stocks go up, it will “help increase confidence” which is good to “spur spending.” Everybody wins. Right?

There’s just one small problem with this approach: **it benefits the wealthiest Americans almost exclusively**. Analyst and commentator Wolf Richter put together a chart from Fed and Census Bureau data to show just how unfairly the Fed’s “wealth effect” obsession gets distributed:

As you can see, the wealthier you already are, the more the Fed’s policies benefit you. If you’re not already rich, well, too bad!

So where does all that extra money come from?

It’s hot off the presses...



Take a close look at that chart.



About **1 out of every 2 dollars in circulation** *magically* appeared since January 2020. A few months later, suddenly the Fed pretends to be surprised to see inflation. Powell assured America it

was merely “transitory” nine months before giving up and just admitting that inflation was stubbornly, persistently high.

You don’t need an economics degree to understand why. ***Every single new dollar reduces the buying power of every other dollar in existence.***

Meanwhile, nearly 2 out of 3 families are living paycheck-to-paycheck.

Their justification? It’s the same one they use every time: We didn’t want to do it, but the alternative is much, *much worse*... It’s the logic that Timothy Geithner used to justify the bailout that saved Wall Street at the cost of *billions of taxpayer dollars*.

*“It seems unjust. But look what happened to the global economy... **It’s not Wall Street that suffers when you ‘teach people a lesson.’ The tragedy of financial populism is that you do terrible things to innocent people.**”*

Quite frankly, this is just a bunch of Federal Reserve PR spin. The truth is, the very thing Geithner is so afraid of, **financial populism, is our only hope for the future.**



The Solution? Follow the Golden Brick Road

The beginning of the revival of our nation starts with the politics of money. It starts with taking back the sovereignty of our wealth, with saying **No** to the games the elites are playing *with our money*. With our **future**.

American Presidents including Andrew Jackson and Abraham Lincoln warned us against the evils of a central bank and the hazards of paper money. William Jennings Bryan almost managed to redefine money over a century ago – he almost managed to make it possible for cash-strapped Americans to pay off their debts and liberate themselves.

That's when the elites set up the Federal Reserve. Because they think financial populism means “you do terrible things to innocent people.”

BULLSHIT. Did financial populism destroy 96% of your spending power? Did financial populism enable deficit spending to the tune of \$30 trillion (and counting)? Did financial populism use taxpayer dollars to ensure the fattest cats on Wall Street walked away from the 2008 Financial Crisis *not only with their jobs, but **wealthier than before***?

Remember that chart at the beginning of this report? Every dollar that the Fed “prints” and injects into the markets dilutes the value of existing dollars.

The Federal Reserve and the debt-drunk U.S. government are making each and every one of us *pay for the privilege of devaluing our own currency!*

They're practically forcing us to investigate alternative stores of value like precious metals.

It's pretty simple. Gold, silver, and other precious metals are different from fiat



currency. Precious metals all have a finite supply that cannot be conjured up on a whim.

These physical precious metals all sit outside of the purview of the Federal Reserve and other elected officials in the government, and are therefore relatively safe from their constant meddling.

Is gold still the best hedge against a currency collapse?

I've devoted a tremendous amount of time and thought to this question, and I believe the answer is **Yes**. Consider the alternatives:

Cryptocurrencies: Digital money is definitely a hedge against central banks. However, nearly 2,000 cryptocurrencies have failed since 2017. In addition, cryptocurrency transactions aren't as private as most people think.

NFTs: These were invented in 2014, started to catch on in 2017 and finally went mainstream in 2021. Will they withstand the test of time? There's just no way to know, due to their brief historical track record.

Cash: Some people believe owning other currencies will help preserve their savings for the long haul. This simply isn't the case. Consider: of the 750 currencies that have existed since 1700, only about 20% remain, and the survivors all have been devalued. By "devalued," *I mean worth only a fraction of their original value*. Today's British pound sterling (GBP or £) has declined 96.4% in purchasing power over my lifetime.

Compare with **gold**, which has been valued since 4,000 BC and used as money since 1,500 BC (and silver almost as long). In fact, **gold is still used as money today** by the world's central banks.



That's right – *the same people* who tell you that inflation is for your own good, and that you don't know what money is, *they buy gold*. Here's why:

- Gold is a “**trustless**” currency – it doesn't matter who's on the other side of the transaction, you know the money's good.
- Gold is **uninflatable**.
- Gold is **unhackable**.
- Gold is **still there when the lights go out**.

Finally, *gold frees its owners from bank oversight*. Maybe you've seen the stories about the Canadians whose bank accounts were frozen because their government didn't like their politics? **This is already happening right here in the U.S.**

Friends, ***we are at war*** whether we know it or not. Each and every American patriot is at war with Wall Street and its government puppet, the Federal Reserve. And don't be fooled – their weapons are frightening. In 1978, Ronald Reagan warned us:

“Inflation is as violent as a mugger, as frightening as an armed robber and as deadly as a hit man.”

If you want to have *any power over your own financial future*, you need to opt out of the Fed's paper-based pickpocketing and their paternalistic attitude that they know what we need better than we do.

So here's what you need to do next...

You need to talk to my friends over at the Birch Gold Group. They'll walk you through the benefits of physical precious metals (*completely* different from ETFs and other paper-based, imaginary finance hocus-pocus).

And then they'll hook you up with a **FREE 20-page information kit** to take a look at. (Don't worry, there is **no cost or obligation** when you [take this initial step](#).)

I'm hoping that you'll carefully examine the possibility of shifting some of your savings into precious metals today.

[So take action. To get Birch Gold's no-cost, no-obligation info kit, click here now.](#)

One final thought

I did some back-of-the-envelope calculations... Were the U.S. to come to its senses and go back to a gold standard **right this minute**, and back *every dollar in existence* with gold from the U.S. reserves, the price per ounce of gold would *skyrocket*.

A	B	C	D	E
Record Date	Facility Description	Form Description	Location Description	Fine Troy Ounces
1/31/2022	Mint Held Gold - Deep Storage	Gold Bullion	Denver, CO	43853707.28
1/31/2022	Mint Held Gold - Deep Storage	Gold Bullion	Fort Knox, KY	147341858.4
1/31/2022	Mint Held Gold - Deep Storage	Gold Bullion	West Point, NY	54067331.38
1/31/2022	Mint Held Gold - Working Stock	Gold Coins	All Locations- Coins, blanks, misc.	2783218.656
1/31/2022	Federal Reserve Bank Held Gold	Gold Bullion	Federal Reserve Banks - NY Vault	13376987.72
1/31/2022	Federal Reserve Bank Held Gold	Gold Bullion	Federal Reserve Banks - Display	2393.352
1/31/2022	Federal Reserve Bank Held Gold	Gold Coins	Federal Reserve Banks - NY Vault	73472.281
1/31/2022	Federal Reserve Bank Held Gold	Gold Coins	Federal Reserve Banks - Display	357.238
			total oz govt gold	261,499,326.29
			\$30,142,346,400,000.00	debt
			\$115,267.40	gold price per oz

Now, this doesn't seem likely to me. I fully expect the Fed to continue printing money with abandon, devaluing our money by the minute. If that's the case, it makes sense to me to spend those dollars *now, while they still have value*, and buy something that will stand the test of time.

So, which do you think will still be valuable twenty years from now: a 1 oz bar of gold, or a 1-pound pile of Federal Reserve Notes? Which is a firmer foundation for your financial future? Consider: that 1-pound pile is made of 490 \$100 bills. After 20 years of 7.5% inflation (remember, that's what we're seeing today, *officially*) your buying power has **declined 77%** -- that \$49,000 is now worth less than \$12,000.

Again, I encourage you to take a hard look at precious metals.

[Get your free info kit from Birch Gold here.](#)

THE END OF THE Dollar Empire

By Stephen K. Bannon

Volume 2: The Failing Global Reserve Currency

All global reserve currencies in history have eventually failed...



Citizens,

Over the last few years I've become increasingly concerned by a number of growing economic forces that threaten the U.S. This "economic warfare" is taking place right now on a number of fronts.

The immediate goal is to undermine the U.S. dollar. This is a crucial step in removing the U.S. from its role on the world stage.

Whether you follow geopolitical struggles or not, this is important: As goes the dollar, so goes your savings. The struggle ahead may not only bankrupt our nation, but all of us as well.

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This time, we're diving deep into a frequently-misunderstood subject that's played a key role in U.S. global financial dominance for nearly a century... Until today.

Respectfully,

A handwritten signature in black ink, appearing to read 'S. Bannon', with a stylized, flowing script.

Stephen K. Bannon

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Our greatest export: The U.S. dollar



I'm sure you've heard the phrase "global reserve currency" used. Most people simply aren't aware of what that means, or how important it is.

So before we go any farther, let's explain exactly what a global reserve currency is.

1. The global reserve currency is **used for transactions between nations** that have separate, native currencies. If, for example, a Swiss refiner importer wants to buy a shipment of Peruvian silver ore, the transaction is usually priced (and paid for) in dollars. Peruvian banks wouldn't know what to do with a deposit of Swiss francs, and the buyer doesn't want to chase down a bunch of Peruvian *soles* to pay the supplier. So **both companies just use dollars**.

That means, effectively, nearly **every global business needs dollars and uses dollars**.

2. As a result, most **global commodities are priced in dollars**. (Because that's what most businesses use to pay for them.)
3. Because businesses use dollars regularly for international trade, a global reserve currency enjoys a **very deep, very wide, highly reliable source of demand**.
4. And that demand creates **stability**. Stability is a *highly prized resource* in times of economic or political crisis – and crises create **more demand**. During the Covid panic in 2020, we saw a *huge surge* in global demand for dollars.

You've probably heard the factoid that something like 60-85% of the entire world's paper dollars are overseas, outside the U.S.? **That's why**.

The currency that has global reserve status has what economists call, "exorbitant privilege," and it's linked to our nation's crippling debt load.



Here's how much the “exorbitant privilege” is worth

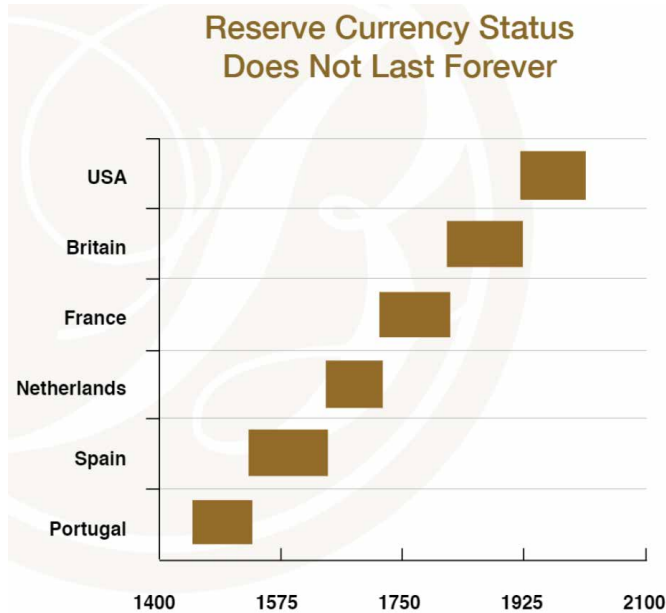
I think economist [Barry Eichengreen puts it best](#): “It costs only a few cents for the Bureau of Engraving and Printing to produce a \$100 bill, but other countries had to pony up \$100 of actual goods in order to obtain one.”

Since other nations are so willing to loan the U.S. money, interest rates are *significantly* low, only about $\frac{1}{3}$ their “natural” level, thanks to the dollar’s global reserve status. This saves the nation about \$40-50 billion *per month* on debt service payments.

Now that we know what's at stake:

I'll take you on a brief tour of the U.S. dollar's history as a global reserve currency...

Part 1: History's graveyard



Source: "A Deeper Look - Dollar as Reserve Currency" from Birch Gold Group

Dozens of global reserve currencies have existed in the past, from the Roman *denarius* to the pound sterling.

The **British pound sterling** collapsed when the UK almost bankrupted itself after fighting two world wars.

The **French franc** failed after the French Directory experimented with the *assignat*, an unbacked paper currency.

The **Dutch florin** met its end when the Bank of Amsterdam bankrupted itself by making too many high-risk loans.

The **Spanish dollar** lost its crown due to massive ongoing trade deficits that led to debasement, diluting the coinage with low-value metals.

The **Portuguese real** ceased to exist when the nation was conquered by Spain.

That's just a handful – for as long as there has been global trade, there has been a global reserve currency. They typically last 80-110 years.

The U.S. dollar has been the world's reserve currency for over 90 years...



The U.S. dollar becomes the global reserve currency

While World War II was still raging, the Allies met and agreed to a coordinated monetary management program called the Bretton Woods system. This established the U.S. as middleman in virtually every international transaction. That was based on **promising dollars were exchangeable for gold.**

This was only possible for two reasons:

1. In 1944, the U.S. controlled $\frac{2}{3}$ of the entire world's gold.
2. The U.S. was the only Allied nation whose countryside had not been a battleground, whose economy actually emerged from the ashes of World War II stronger than before.

Turns out, trusting the U.S. government was ultimately a mistake...

Nixon closes the gold window

In 1971, the U.S. economy was in a rough spot. President Nixon's Federal Reserve increased the money supply by 10% in an attempt to juice economic output.

Other countries caught on and cried "Foul!" Remember, during the days of the gold standard, the U.S. *wasn't supposed to print more dollars* than they had gold to exchange for them. The rest of the world started swapping their inflated dollars for gold.

Obviously, if the U.S. allowed this to happen, they'd run out of gold *well* before everyone else ran out of dollars!

So, on August 15, 1971, President Nixon revoked America's promise to exchange dollars for gold.

Other nations were *furious*. So in order to reassure the world that this new, unbacked U.S. dollar was more than just fancy toilet paper, Nixon worked out a deal with Saudi Arabia. The Saudis promised to **price and sell crude oil exclusively in dollars**. Thus, the "petrodollar" was born.

(Importantly, the Saudis *didn't fix* the price of oil. Rather, oil's price would be established by the market. So the “petrodollar” agreement didn't **guarantee dollar value** – only that there would be at least one place the world could *spend* their dollars.)

In response, the rest of the world proceeded to disconnect their own currencies from gold. Now, instead of being backed by physical precious metal reserves, the world's currencies were backed by – well, *hope*. Faith in the issuing nation's ability to run its economy in such a way that the currency would be worth something.

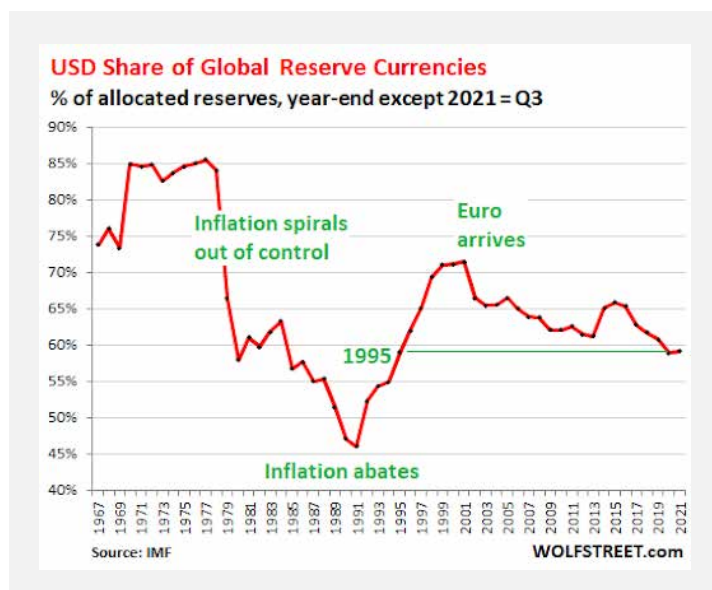
Faith and hope, it turns out, isn't enough...

The world dumps dollars

Now that the U.S. dollar was no longer exchangeable for gold, there was effectively *no limit* on the number of dollars the nation could print.

- Inflation hit the highest levels in 40 years (sound familiar?).
- The purchasing power of the dollar plummeted (losing *half its purchasing power* over the course of the next decade).
- Global central banks sold dollars as fast as they could.

Global reserve numbers are difficult to research, so I'm going to reproduce this [chart from Wolf Richter](#), with a focus on the “Inflation spirals out of control” section:



After the dollar's supply was no longer fixed, **the dollar lost its stability**. Its purchasing power **plummeted**. **Nobody wanted dollars anymore!**

Not until things looked a little better – at least temporarily...

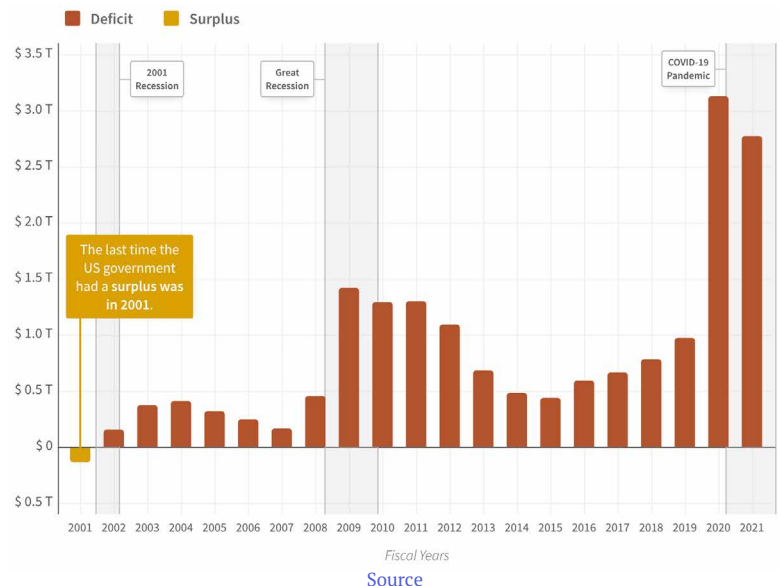
Dollars aren't the best, but they're the best of *the worst*

The nation behind a global reserve currency faces a paradox. It works like this:

1. People want to give you (the U.S.) their money in exchange for an IOU.
2. But since you're a *nation*, not an individual, you don't have a savings account. You have no place to put other people's money.
3. So, instead, **you spend it**.
4. People want to give you *even more* money (remember, they *have to*, in order to participate in the global economy).
5. So **you spend it, too...**

After a while, the government ran out of *productive* things with other people's money – to the tune of **\$30.5 trillion** in debt. They gave up on balancing the budget. (What's the point in balancing the budget when someone's *always* going to just give you more money?)

For 20 consecutive years, government has *spent more money than they've collected*. There's been **no effort** to temper this addiction to debt, to other people's money.



In the wake of the Great Financial Crisis, government spent *more than a trillion dollars yearly* – **for four years!** – than they collected in taxes. Spending slowed down a little, then skyrocketed once again during the pandemic panic.

Look at that chart again, and remember that **every single dollar** represents an IOU. A promise to pay. In two decades the U.S. made nearly **\$18 trillion** *new* promises to pay – and increased the national debt by nearly **\$23 trillion**.

You'll notice in the "USD Share of Global Reserve Currencies" graph above that the dollar's share of the world's reserves has been trending downward since 2001.

That's *partially* a response to the federal government's reckless spending and ruinous debt.

It's also reflecting a changing world economic situation. Since the U.S. abandoned the gold standard, our nation's economic growth has been absolutely anemic compared to *many* other nations.

One more thing: those \$30.5+ trillion dollars of debt are *merely* “direct liabilities” – those debts the government is **legally obligated to pay**. If we include “contingent liabilities” (Social Security, Medicare, state and local government debt) the U.S. owes somewhere between **\$100-\$200 trillion total**.

What's the plan for paying off all that debt?

There isn't one. And the rest of the world knows it. Thus, we're seeing a rapid increase of interest in diversifying away from the U.S. dollar...

The rise of alternative reserve currencies

The International Monetary Fund (IMF)'s Special Drawing Rights (SDR)

Even if you've heard of the SDR, I'll bet you didn't know it was originally pegged to gold!

From the IMF website:

“The SDR was initially defined as equivalent to 0.888671 grams of fine gold — which, at the time, was also equivalent to one U.S. dollar. After the collapse of the Bretton Woods system, the SDR was redefined as a basket of currencies.”



Today, the SDR is sort of the United Nations of reserve currencies. It's composed of a handful of currencies, currently:

Theoretically, the SDR could serve as a global reserve currency, but at present it doesn't even place in the top eight reserve currencies.

Currency	Weights determined in the 2022 Review	Fixed Number of Units of Currency for a 5-year period Starting Aug 1, 2022
U.S. Dollar	43.38	0.57813
Euro	29.31	0.37379
Chinese Yuan	12.28	1.0993
Japanese Yen	7.59	13.452
Pound Sterling	7.44	0.080870

[Source](#)

China's digital e-yuan and the petroyuan

Despite China's astonishing economic growth over the last few decades, not many global central banks are interested in holding yuan (currently #5 in the top 8 foreign exchange currencies).

In order to encourage global adoption, China recently launched the world's first [central bank digital currency, the e-yuan](#).

A thousand years ago, when money meant coins, China invented paper currency. Now the Chinese government is minting cash digitally, in a re-imagination of money that could shake a pillar of American power.

A centralized digital currency in the hands of an autocratic regime like the CCP is terrible for their citizens. Whatever scraps of privacy remained are gone for good.

On a global level, the e-yuan wasn't that meaningful. Except for one thing...

Remember, when Nixon closed the gold standard, he also cut a deal with Saudi Arabia to price and sell their crude oil in dollars only? So that the no-longer-backed-by-gold U.S. dollar would still be guaranteed to have one use on the world stage?

Well, recent news that Saudi Arabia and Beijing were engaged in high-level talks to denominate and [sell Saudi crude oil in yuan](#) was a big, big deal. If China makes this happen, the dollar's sole surviving advantage in the world would be gone. (And Xi Jinping would *encourage* China's trading partners and foreign aid recipients to use yuan rather than dollars for their own oil transactions – then the dominos would start to fall...)

But the petroyuan probably isn't the biggest threat to the dollar's global reserve currency status.

Russia's reserve scheme

This June, [Russian president Vladimir Putin](#) floated a new version of the IMF's SDR reserve currency for the world's up-and-coming economies, the so-called BRICS (Brazil, Russia, India, China and South Africa).

ING's global head of markets, Chris Turner, [described the initiative](#) this way:

It will allow BRICS to build their own sphere of influence and unit of currency within that sphere.

Russia and China are **highly motivated** to do this, in light of the financial cancellation Russia experienced this year after the Ukraine invasion...

Weaponizing the dollar

Most recently, financial sanctions enacted by the U.S. and European Union froze virtually all of Russia's foreign assets and even kicked Russia off the SWIFT international payments network. This functionally disconnected Russia from the global economy, rendering an entire nation unable to trade with the rest of the world.

And it's *not* an exaggeration to call this “weaponizing the dollar” – George Pearkes of the Atlantic Council [describes the effect](#) as the equivalent of “a bombing campaign” on the *civilian population*. The U.S. Treasury often goes after [specific individuals](#), as well.

This has happened before – the weaponized dollar is already a **geopolitical fact of life** (ask Cuba, Iran, North Korea or [anyone else on the long list](#)). It's the U.S. favorite way of exerting pressure without using soldiers.





While this underlines a huge political advantage for the nation that controls the global reserve currency, it has also been a wake-up call for countries about their reliance on dollars. Essentially, they're relying not only on the dollar as a store of value, they're also relying on *the U.S. current political leader's policies and politics*. Any nation that dares disagree with the U.S. could find their economies held hostage.

Credit Suisse AG's global head of short-term interest rate strategy [Zoltan Pozsar says](#):

*...wars tend to turn into major junctures for global currencies, and with Russia losing access to its foreign currency reserves, a message has been sent to all countries that they can't count on these money stashes to actually be theirs in the event of tension. As such, it may **make less and less sense for global reserve managers to hold dollars for safety**, given that they could be taken away right when they're most needed.*

This strategy works when it prevents adversaries from getting what they want (like U.S. sanctions targeting Chinese military-industrial companies). In this case, weaponizing the dollar did the opposite – it took Russian oil, coal, natural gas, fertilizer and food off the market for U.S. allies.

Russia *doesn't need the West* as a customer – they're just as happy to sell to China, India and the Middle East. Instead of crippling the Russian economy, instead of bombing Russia's civilian population, **Biden has effectively bombed his own allies**. France, Germany, Italy, the Netherlands, Poland – members of NATO who are also *dependent on Russian energy* they can no longer import.

Now you can see why so many nations are interested in diversifying away from dollars...



Part 2: Gradually, then suddenly

“How did you go bankrupt?” Bill asked.

“Two ways,” Mike said. “Gradually, then suddenly.”

– Ernest Hemingway, *The Sun Also Rises*

Global U.S. dollar holdings are already at 20-year lows

The U.S. dollar’s share of world currency reserves continues to ebb slowly, as it has since the IMF started tracking this data in 1999.

Partially this is due to lower international demand for dollars (for the reasons we discussed above). But another factor in the dollar’s decline is its *slumping purchasing power* (down some 10% in the last two years alone!).

Both these facts are important. What’s more immediately concerning is the accelerating trend away from the dollar.

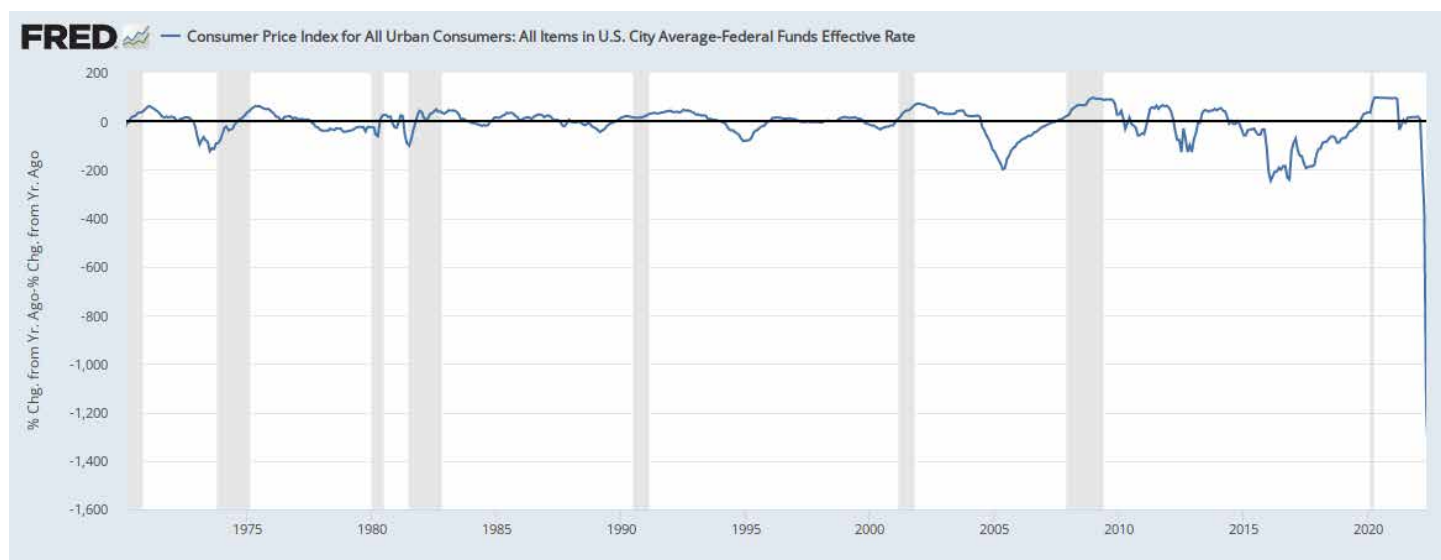
A responsible central bank would respond to a decline in purchasing power by raising interest rates. On the international scene, higher interest rates attract more deposits (just like banks sometimes offer “high-yield” savings accounts to bring in more customers).

Under Chairman Powell’s leadership, the Federal Reserve has utterly failed at this basic responsibility.

Take a look at this chart measuring the Fed's Effective Federal Funds Rate (EFFR), sometimes called the "benchmark" – basically, the rate that the Fed controls. EFFR is one of the most important macroeconomic indicators that feeds into virtually every loan in the U.S. – from mortgages to Treasury yields, savings accounts to car loans.

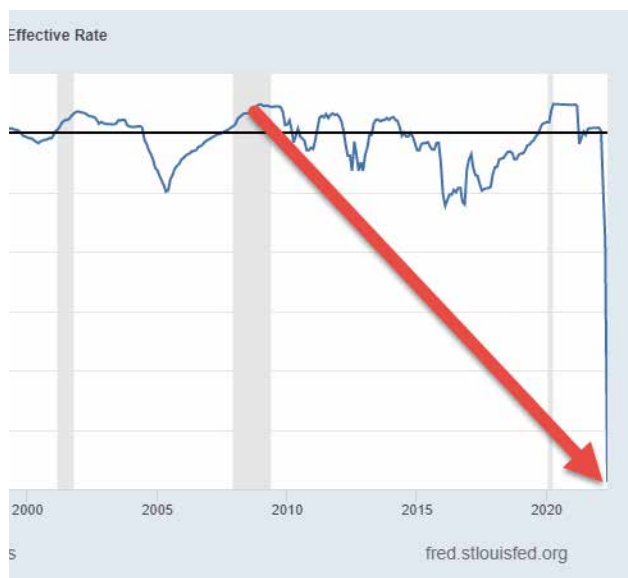
If we take the EFFR and adjust it for inflation, we get a number I'll call "real EFFR." This measures whether the dollar is gaining or losing strength on a global level.

If you understand what this means, brace yourself – this chart is shocking.



[Source](#)

Here's a detail of the same chart:



When we adjust for inflation, the dollar's value is *shrinking faster than any other time in history*.

In other words, the dollar is *failing* one of the basic tests we use to define money. It's no longer a **store of value**.

That makes it pretty clear why the world's central bankers are eager to replace their dollars with something else.

Even at such a historic time, while the value of their dollar holdings are *incinerated hour by hour*, central banks won't move quickly...

How will we know when the party's over?

As we discussed earlier, the U.S. economy enjoys **massive benefits** from the dollar's global reserve status.

As we see now, the dollar's reign is fading – not quickly, but inevitably.

That's why, as Ray Dalio tells us, “Of the roughly 750 currencies that have existed since 1700, only about **20 percent remain**, and **all of them have been devalued**.”

Here's why...

The U.S. has some \$30 trillion in outstanding checks floating around the world. All those creditors are going to line up and demand to be paid. And **the only way** to pay them? **Print more dollars**.

As inflation rises, creditors will be increasingly eager to get paid back (before the dollars they're owed are printed into worthlessness). This creates a destructive feedback loop as more dollars are printed to pay old debts, devaluing *all other dollars* in the world, increasing inflation.

That's the **main reason** that global reserve currency status, when it's lost, it's lost forever. There's **simply no recovery** from this cycle of devaluation.

So how will we know when it's over?

Here's what the end of a reserve currency regime looks like

When the dollar loses its hegemony as the global reserve currency, at first, **nothing would look different**. Inflation would tick up a bit. Imported goods, that fancy wine you like to buy for special occasions, would be more expensive.

Financial markets would be volatile. Commodity prices (oil, copper, gold and silver) would rise – because, even though they're *priced* in dollars, they have *intrinsic value* that's equal in any currency.

The first unusual thing you'd probably notice is *rising Treasury rates*. During “normal” times, the world's response to financial volatility is to buy dollars, which lowers Treasury rates. Crucially, **this time will be different**.

Instead of a “safe haven” for global cash, dollars are seen as a liability.

Despite rising interest rates, the global drive to dump dollars would continue, even *accelerate*.

Commodities prices surge. A contagious panic sets in across the financial markets. Everyone holding dollars would flee for the exits all at once – selling *everything*, desperate to take their money off the table.

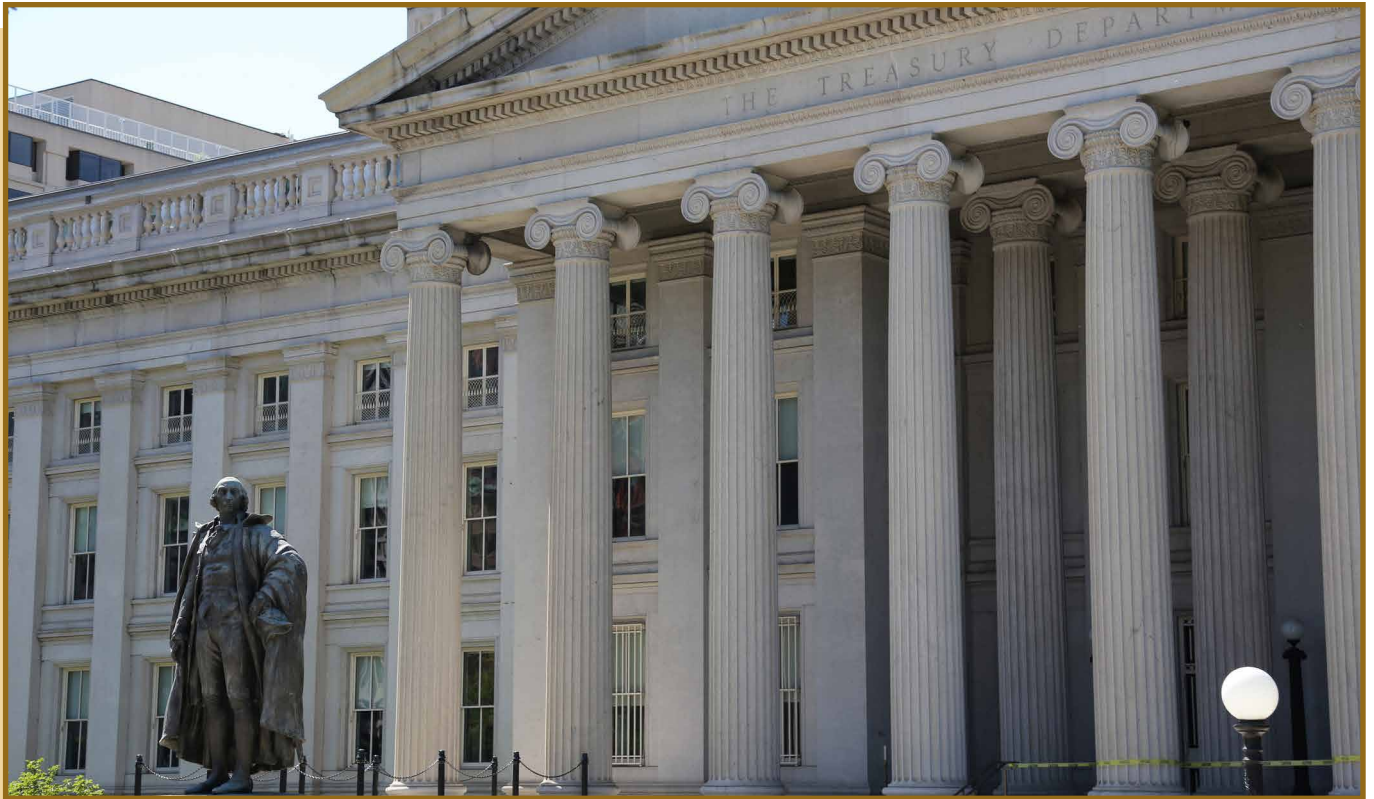
If the Federal Reserve follows its 20+ year playbook, they'd do exactly *the wrong thing* – *lowering* interest rates, printing money. That would accelerate the dumping of dollars.

We'd see **double-digit inflation**. Imported goods and services would become **astronomically** expensive. International travel wouldn't be affordable except for the top 1% wealthiest Americans, who'd undoubtedly flee (and take their wealth with them).

Hyperinflation is **not an unrealistic concern** in this scenario. Remember, the U.S. would be presented with some \$30+ trillion in bills with *just \$4 trillion in revenue* – there would be two stark choices:

- 1. Default on the debt.** That would be both quick and *devastating* to global financial markets. Those \$30+ trillion in IOUs would become *worthless overnight*. The global economy would collapse – and I don't mean another Great Depression, I mean another Panic of 1873 and Long Depression. (Just as bad as, if not **worse** than, the Great Depression – and **twice as long**.)
- 2. Inflate the debt away.** This is a slower, more insidious path to the same conclusion. Printing dollars destroys dollar value – effectively it's an *invisible tax on every American*. Eventually, the American economy would collapse. The rest of the world would probably endure, though the damage would be cataclysmic.





Either scenario means the end of the U.S. as a major power in global finance – which means the end of the U.S. as a major power, *period*. Our nation would no longer be able to finance a blue-water Navy policing trade routes, or a NATO to counter Russian aggression. New superpowers would divide up the spoils of the collapse – China would invade Taiwan and build an island empire in the South Pacific. Russia would recapture its old Iron Curtain territories, from Finland to Bulgaria.

And the U.S. would watch from the sidelines – just like the UK has since the end of the 1940s. The proud nation that saved the West in *two World Wars*, countered communism for decades, served as the world police from Kenya to Korea, Grenada to the Persian Gulf, would be nothing but a memory in the minds of patriots.

Let me remind you: **this is inevitable.**

Part 3: “We will not see them lit again in our lifetimes.”

“The lamps are going out all over Europe, we shall not see them lit again in our life-time.”
- British Foreign Secretary Sir Edward Grey, on the eve of the UK’s entry into World War I.

If you believe nothing else I’ve written here, I need you to understand one thing:

The dollar’s reign as the global reserve currency is ending.

Not today, and not tomorrow – *but sooner than you think.*

With many big decisions in life, it’s easy to take a “wait-and-see” approach. *Maybe* it won’t be as bad as all that. *Maybe* I’ll be long dead before things really unravel. *Maybe* I’ll be okay...

This is **defeatist thinking**. I’ve pointed out the smoke. I’ve told you about the fire.

By the time you see the blaze for yourself, I guarantee you, the exits will be jammed with *millions* of others who had a blasé, “wait-and-see” attitude. By then, it’s **too late** to get out easily – you *might* make it, but **you will get hurt**.

Here’s what to do

I strongly encourage you to learn more about how to “unbank” yourself and become **less dependent** on the dollar’s international reputation. Don’t leave your future in the hands of the Federal Reserve!

What I didn’t tell you earlier is this:

Every year since 2008, global central banks have been buying gold.

Worldwide. From 100 to 900 tons. **Every. Single Year.**

In fact, world central banks are already doing this. We already know they're *lowering* their dollar holdings.

Fortunately, as individuals, we *don't* have to move as slowly as central banks. We can make decisions *rapidly*, without consulting committees or waiting for official approval. We can decide to **act right now** to take the steps we must to protect ourselves, and our families, and our own futures.

Ask yourself: *is the money you've saved for the future **really safe**?*

If the dollar lost its privileged status like I outlined above, **where would that leave you?**

Could your retirement savings be **safer**?

Would you *feel* safer, sleep more soundly at night, knowing that at least *some* of your retirement savings were diversified into the **same investment** that central bankers are loading up on right now?

Fortunately, there's an **easy way** to transfer your retirement funds (money you've **already saved**) into physical precious metals. Birch Gold Group is **the only company I trust for gold**.

They can help you open your **SDIRA** without spending **a single dollar** out of your pocket.

Birch Gold Group has helped *tens of thousands* of **everyday Americans** diversify their retirement savings into **uninflatable, intrinsically valuable, historical stores of value**. If you want some **protection** against the collapse of the U.S. dollar, if you want to own something that's **always been worth money**, and you want to use **money you've already saved** (before it's *completely worthless*), then I **strongly recommend** you contact **Birch Gold Group**.

We don't build houses with foundations of cardboard. We shouldn't base our financial security on a foundation of *paper*.

If you don't take this step for yourself, do it for your **family**, for your **children's futures**.

And if you haven't *already* received your **free guide** to securing your savings with real physical gold, [request yours here right now](#). You might not get another chance.